Shortfall of Domestic Resources to Eradicate Extreme Poverty by 2030: An Update with the September 2026 PIP Data

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Abstract

I update Fabre (2025) with the September 2026 release of the World Bank's Poverty and Inequality Platform (PIP), which expresses incomes in 2021 PPPs and includes more recent surveys for 118 of the 168 countries covered. The method is unchanged, except that growth scenarios now start in 2025, after observed growth. When the original $2.15 line is converted to 2021 prices ($2.46), the results are close to the original ones: with observed growth up to 2025 and a balanced growth of 3% per year thereafter, 5.2% of humans would still live in extreme poverty in 2030 (vs. 5.2%), and even capping incomes at $7.84 a day cannot eradicate extreme poverty in 8 low-income countries (vs. 5). At the new international poverty line of $3.00 a day, which is higher in real terms, the shortfall is more severe: 7.6% of humans would remain extremely poor, and 11 countries could not eradicate extreme poverty even by capping incomes at $8.30 a day. Even by 2035, 8 low-income countries would lack the resources to end extreme poverty at $3.00 a day. In contrast, a transfer of 0.31% of global income would suffice to close the global extreme poverty gap in 2030.

1 Introduction

Fabre (2025) assesses whether growth and domestic redistribution can eradicate extreme poverty by 2030, the first target of the Sustainable Development Goals. It relies on PIP data downloaded in 2023, expressed in 2017 PPP $, with the extreme poverty line at $2.15/day. The paper noted that its estimates "could be improved when PIP releases a data update". Since then, the World Bank has adopted the

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2021 PPPs together with revised poverty lines (Foster, Jolliffe, Lara Ibarra, Lakner, & Tetteh-Baah 2025), and has incorporated many new surveys, most recently in its September 2026 update (Castaneda Aguilar et al. 2026). With four years remaining before 2030, this note re-runs the original code on the latest data.

2 Method

The method is unchanged from Fabre (2025). For each country, PIP provides the percentiles of the per capita consumption (or income) distribution in the most recent survey year. I project each percentile using the observed growth of GDP per capita between the survey year and 2025 (the last year with data), and then to 2030 under various growth scenarios, assuming balanced growth (i.e. constant national inequality). Thus, the growth scenarios only apply to the period 2025–2030 (or from the survey year, for the few surveys conducted in 2025), while all past growth is observed. This departs from the original paper, where the scenarios applied from 2022, the last year with data at the time. For the five countries lacking recent GDP data, the scenario growth rate is applied from the last year with data (Lebanon, Syria, United Arab Emirates) or, failing that, from the survey year (South Sudan, Venezuela and Yemen), as in the original paper. I then compute, for each country in 2030, the *antipoverty cap* (the threshold above which all income would need to be confiscated to close the poverty gap), the *antipoverty tax* (the linear tax rate above a given threshold needed to close the poverty gap) and the *income floor* that a given tax could finance. These idealized policies abstract from administrative costs and behavioral responses: they provide upper bounds of domestic capacity.

3 What changed

Poverty lines. The international poverty lines become \$3.00 (formerly \$2.15), \$4.20 (formerly \$3.65), and \$8.30 (formerly \$6.85) per person per day, in 2021 PPP \$. These new lines are not mere price conversions of the former ones. Converted to 2021 prices, the \$2.15 line would be worth \$2.46; most of the rise to \$3.00 reflects higher national poverty lines in low-income countries, themselves due to surveys that capture more consumption (Foster et al. 2025). The \$3.00 line is thus a higher bar in real terms. To separate the effect of the new data from that of the higher line, I present results both at the new lines and at the price-equivalent lines of \$2.46 and \$7.84 (i.e. \$6.85 scaled by the same factor of 2.46/2.15). The taxation threshold of the antipoverty tax and income floor is set at the acute poverty line in each case (\$8.30 or \$7.84). The threshold of \$18.15/day, which corresponds to the 2021 U.S. federal poverty line for a family of four (\$26,500 a year), is already expressed in 2021 \$ and is kept unchanged, as is the threshold of \$100/day for

the global tax.

Surveys. The PIP data (version 20260922) cover 172 economies, of which 171 are included in the analysis (vs. 167 in the original paper; as before, Taiwan is excluded for lack of GDP data). Among the 168 countries covered by both vintages, the most recent survey has changed for 118. 63% of countries now have a survey from 2021 or later (vs. 59% surveyed between 2018 and 2021 in the original data). The update is particularly consequential for the poorest countries. The most recent survey dates from 2020 instead of 2012 for the D.R. Congo, from 2021 instead of 2012 for Madagascar, 2020 instead of 2013 for Burundi, 2021 instead of 2015 for Ethiopia, 2021 instead of 2008 for the Central African Republic, 2022 instead of 2014 for Mozambique, and 2022 instead of 2018 for Nigeria. For India, the 2023–24 Household Consumption Expenditure Survey replaces the 2019 data. It shows a sharp fall in extreme poverty, which the World Bank recommends interpreting with caution, as it may partly reflect improvements in survey implementation (Castaneda Aguilar et al. 2026).

Growth. GDP per capita (in constant 2021 PPP $) now comes from the World Development Indicators of October 2026, which run through 2025. The growth scenarios therefore start in 2025 instead of 2022: observed growth replaces the scenarios over 2022–2025. As observed growth fell short of 3% per capita per year in 14 of the 21 low-income countries with data, this makes the update more pessimistic than a mere data substitution would. The windows of the two country-specific scenarios of Table 1 are updated accordingly. The *trend* scenario extends each country's average annual growth over 2015–2025 (instead of 2014–2019). The *autoregressive projection* uses a quadratic model of growth over 2015–2025 as a function of growth over 1995–2015, estimated on 181 countries ($g_{15-25} = 0.956 + 0.179\, g_{95-15} - 0.0146\, g_{95-15}^2$, where g denotes the ratio of GDP per capita between the end and start years; adjusted $R^2 = 0.03$), applied to growth over 2005–2025 to project the growth of the next ten years, which is annualized. The counterfactual scenario of the original paper, in which 7% growth would have started in 2016, is not updated, as it would contradict the use of observed growth. Household final consumption (used in the robustness check that rescales survey data to national accounts) is updated from the same source.

Code. Two minor issues are fixed. First, as PIP now provides a national distribution for China, it is used directly rather than reconstructed from the urban and rural distributions (the original data did not include a national distribution, so the original results are unaffected). Second, the list of low-income countries contained two coding errors, which are corrected (Sierra Leone was miscoded and

the Central African Republic was missing).[1] The code and data are available at github.com/bixiou/domestic_poverty_eradication (see `code_poverty/update.R`).

4 Updated results

Table 1: Global poverty rates and poverty gaps in 2030 under different growth scenarios, using the September 2026 PIP data. Growth scenarios apply from 2025 (or the survey year if later), after observed growth. Poverty rates are expressed in % of world population and poverty gaps in % of world GDP. Poverty lines are in 2021 PPP $/day.

Growth scenario	Poverty rate (%)				Poverty gap (% of GDP)			
(Poverty line in $/day)	3.00	4.20	8.30	18.15	3.00	4.20	8.30	18.15
2022 estimate	10.0	19.0	47.9	71.6	0.49	1.32	8.36	38.30
2025 estimate	9.2	16.2	43.8	69.5	0.44	1.13	6.91	33.83
Trend (2015–2025)	8.9	14.4	37.5	66.1	0.41	0.99	5.35	27.79
Max(Trend, 0)	8.5	14.1	37.3	66.0	0.38	0.94	5.25	27.62
Autoregressive projection	8.3	14.2	39.2	66.9	0.36	0.92	5.52	28.79
3% growth	7.6	13.3	38.5	66.6	0.31	0.81	5.08	27.21
3% unbalanced growth	7.2	12.5	35.5	65.7	0.31	0.79	4.71	26.19
7% growth	5.2	9.5	29.5	61.0	0.17	0.47	3.04	18.87

Growth alone. Table 1 updates Table 1 of Fabre (2025) at the new poverty lines. I estimate that 10.0% of the world population lived below $3.00/day in 2022, slightly below the World Bank's official estimate of 10.9%, and 9.2% in 2025.[2] With a balanced growth of 3% per year from 2025, extreme poverty would still affect 7.6% of the world population in 2030 (5.2% at the price-equivalent line of $2.46, vs. 5.2% in the original paper). Even with 7% annual growth, extreme poverty would remain at 5.2% (3.6% at $2.46, vs. 2.7% in the original paper). The

[1] This only affects the statistics on low-income countries, which now number 28. In the original paper, the correction would leave the average antipoverty tax in low-income countries unchanged (70%), and raise from 13 to 14 the number of low-income countries unable to finance an income floor at $2.15/day with a 10% tax above $6.85/day.

[2] World poverty rates and gaps are aggregated from country estimates, weighted by population. The original paper computed them on a world distribution of 100 percentiles, which limits their precision to about one percentage point; for comparability, the original figures reported below are recomputed by aggregating country estimates (e.g. 7.9% in 2022 instead of the published 7.3%). The difference partly comes from countries without PIP data, which are excluded here while the World Bank imputes their poverty, and from differences in the way survey data are extrapolated to 2022 using national accounts.

extreme poverty gap amounts to 0.31% of world GDP in 2030 in the 3% growth scenario (0.17% at $2.46, vs. 0.15%).

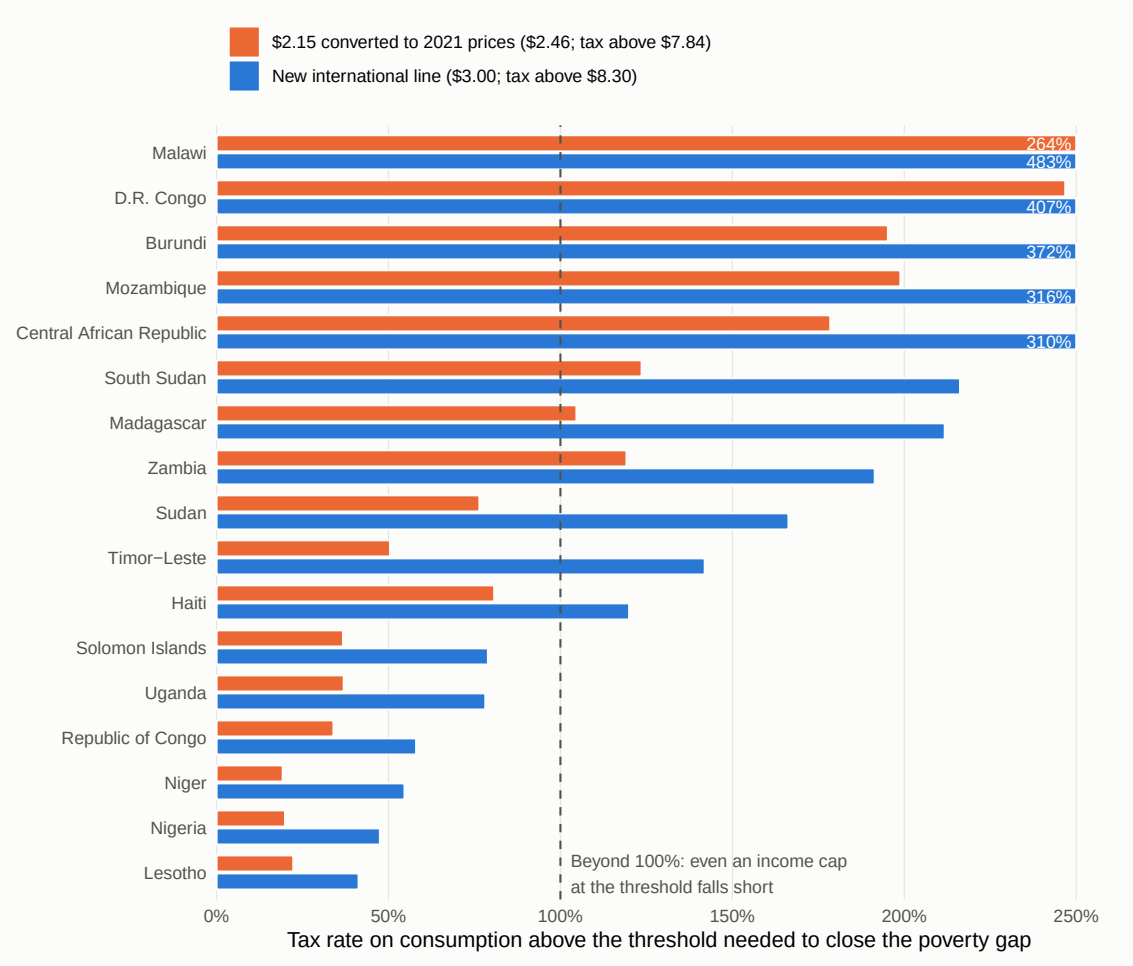
Domestic redistribution. Table 2 compares the main results with the original ones, and Figure 1 shows the antipoverty tax in the countries where it is highest. At the price-equivalent lines, domestic capacity is of the same order as in the original estimates, although somewhat weaker, partly because growth over 2022–2025 fell short of 3% in most low-income countries. In the 3% growth scenario, taxing all income above $7.84/day at 100% would not suffice to eradicate extreme poverty in 8 countries (vs. 5): Burundi, Central African Republic, D.R. Congo, Madagascar, Malawi, Mozambique, South Sudan and Zambia. The average antipoverty tax in Sub-Saharan Africa is 55% (vs. 46%), and a 10% tax above $7.84/day would not finance an income floor at $2.46/day in 22 countries (vs. 23). At the new, higher lines, the shortfall is more severe. Taxing all income above $8.30/day would not suffice in 11 countries, 9 of which are low-income: Burundi, Central African Republic, D.R. Congo, Haiti, Madagascar, Malawi, Mozambique, South Sudan, Sudan, Timor-Leste and Zambia. In 3 of them (D.R. Congo, Malawi and Mozambique), mean consumption would remain below $3.00/day in 2030, so that even a full equalization of incomes would not end extreme poverty. Madagascar, which was in this situation with its 2012 survey, no longer is with its 2021 survey (mean consumption reaches $3.6/day in 2030). On average, the antipoverty tax above $8.30/day would be 101% in Sub-Saharan Africa and 151% in low-income countries. A 10% tax above $8.30/day would not finance an income floor at $3.00/day in 30 countries, including 18 of the 28 low-income countries. Even with 7% growth from 2025, this tax would not suffice in 20 countries.

India stands out. With the new surveys, extreme poverty in India would be down to 1.0% in 2030 in the 3% growth scenario, and the antipoverty tax above $18.15/day would be just 0.12% (vs. 156% previously). India now clearly appears able to eliminate extreme poverty with its domestic resources, subject to the caveats on its latest survey.

Global redistribution. Closing the global extreme poverty gap at $3.00/day in 2030 would require a 2.7% marginal tax on income above $100/day (1.5% at $2.46, vs. 1.2% originally), or 0.56% when survey data are rescaled to national accounts. 95% of the world population lives below this threshold. A global 10% tax above $8.30/day would finance a global income floor of $9.4/day and reduce the global Gini from 0.60 to 0.49.

Horizon 2035. As the 2030 deadline will be missed, Table 3 extends the horizon to 2035, prolonging each growth scenario by five years. With 3% growth, the extreme poverty rate at $3.00/day would fall to 6.2% in 2035 (4.2% at $2.46), and to 2.9% with 7% growth. Five more years of growth considerably increase domestic

Figure 1: Tax rate on consumption above a threshold needed to eradicate extreme poverty in 2030, assuming observed growth to 2025 and 3% annual growth thereafter (countries with a rate of at least 40% at the new line; bars truncated at 250%).



capacity at the price-equivalent line: only the D.R. Congo, Malawi and Mozambique would remain unable to eradicate extreme poverty by capping incomes at $7.84/day. At the new lines, however, 8 countries would still lack the resources to do so even by capping incomes at $8.30/day (Burundi, Central African Republic, D.R. Congo, Madagascar, Malawi, Mozambique, South Sudan and Zambia), and a 10% tax above $8.30/day would not finance an income floor at $3.00/day in 23 countries.

5 Conclusion

The new data confirm the main conclusion of Fabre (2025): neither growth alone nor growth combined with radical domestic redistribution can eradicate extreme

Table 2: Main results in 2030: original paper vs. update. In the original paper, growth scenarios start in 2022; in the update, they start in 2025, after observed growth. World poverty rates and gaps of the original paper are recomputed by aggregating country estimates (see footnote 2).

	Fabre (2025) 2017 PPP	Update, 2021 PPP equivalent lines	Update, 2021 PP new lines
Extreme poverty line ($/day)	2.15	2.46	3.00
Acute poverty line / taxation threshold ($/day)	6.85	7.84	8.30
Extreme poverty rate (% of world population)			
2022 estimate	7.9	6.8	10.0
2025 estimate	–	6.4	9.2
2030, 3% growth	5.2	5.2	7.6
2030, 7% growth	2.7	3.6	5.2
Extreme poverty gap in 2030, 3% growth (% of world GDP)	0.15	0.17	0.31
Domestic capacity in 2030, 3% growth			
Countries where a cap at the acute line is insufficient	5	8	11
Antipoverty tax above the acute line: Sub-Saharan Africa (%)	46	55	101
Antipoverty tax above the acute line: Nigeria (%)	20	19.9	48
Antipoverty tax above $18.15/day: India (%)	156	0	0.12
Countries where a 10% tax above the acute line			
cannot finance an income floor at the extreme line	23	22	30
idem, with 7% growth	10	15	20
Global redistribution in 2030, 3% growth			
Tax rate above $100/day closing the extreme poverty gap (%)	1.2	1.5	2.7
Income floor from a 10% tax above the acute line ($/day)	8.6	9.5	9.4

poverty by 2030. At price-equivalent poverty lines, the results are stable despite the renewal of most surveys. At the new international poverty line, which sets a higher bar, the shortfall of domestic resources is more severe and concentrated in low-income countries of Sub-Saharan Africa, while India no longer appears to be a borderline case. Although the cost of eradicating extreme poverty at $3.00/day represents about twice as large a share of global income as at $2.15/day, it remains modest, at 0.31% of global income. Even with five more years, until 2035, several low-income countries would remain unable to eradicate extreme poverty on their own. This illustrates the need for, and the potential of, international solidarity.

References

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Table 3: Main results in 2030 and 2035 (update, 2021 PPP). The acute line is the taxation threshold of the antipoverty cap and tax and of the 10% tax financing an income floor at the extreme line.

	Equivalent lines ($2.46, $7.84)		New lines ($3.00, $8.30)	
	2030	2035	2030	2035
Poverty rate (%), 3% growth	5.2	4.2	7.6	6.2
Poverty rate (%), 7% growth	3.6	2.0	5.2	2.9
Poverty gap (% of world GDP), 3% growth	0.17	0.12	0.31	0.22
With 3% growth:				
Countries: cap at acute line insufficient	8	3	11	8
Tax above acute line, Sub-Saharan Africa (%)	55	30	101	56
Countries: 10% tax insufficient for floor	22	15	30	23

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